

tics, to facilitate such investments.

Some of the MNCs, like LG and Samsung, have set up manufacturing base in India and are expanding to meet not only the domestic requirement but exports as well. Tax reforms such as changing over to uniform goods and service tax (GST) all over India would further encourage FDI in electronics.

Bridging the digital divide

India's rural areas, where more than 70 per cent of India's population lives, could translate into new market opportunities. Considerable progress has been made in the last few years towards tapping the rural markets and extending the benefits of technology to remote areas.

Strong initiatives by the government on e-governance (NeGP) and spread of cellular communications to rural areas are fast bringing the rural economy closer to the mainstream. As a result, awareness has increased in rural areas, and this has given rise to demand for modern products in these

areas. The NeGP provides citizen-centric services and establishes computer information centres for access to information in remote areas.

Considerable progress has been made in the last few years towards tapping the rural markets and extending the benefits of technology to remote areas. What is now important is to improve infrastructure and logistics for economic progress of the rural areas.

Lessons to learn from China

The Chinese government has encouraged higher value addition and enhanced competitiveness of the Chinese manufacturers by providing, among others, the following means of support:

1. Zero customs duty and other taxes on inputs
2. Refund of full amount of input taxes, if any
3. A clear long-term SEZ Policy to help establish MNC plants
4. Availability of essential inputs

such as power and fuel at low prices

In addition, the Chinese government has mandated use of local content for manufacturers and part local ownership of global companies setting up base in China. A better infrastructure and tax policies that encourage local manufacturing and exports (such as VAT/GST refunds) have all contributed to a thriving electronics industry in China.

In comparison, the policies of the Indian government do not encourage economies of scale. While on one hand the level of indirect taxes is high, on the other hand the government provides exemptions on area/region basis.

In China, the production of each unit is in millions. In India, we have small production units with a capacity in terms of thousands only. The government should abolish all exemptions and bring down the general level of taxation from close to 30 per cent at present to less than 20 per cent in the first phase. ●

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